NOTE 6 – INCOME TAXES

Deferred taxes are provided on a liability method whereby deferred tax assets are recognized for deductible temporary differences and operating loss, and tax credit carryforwards and deferred tax liabilities are recognized for taxable temporary differences. Temporary differences are the differences between the reported amounts of assets and liabilities and their tax bases. Deferred tax assets are reduced by a valuation allowance when, in the opinion of management, it is more likely than not that some portion or all of the deferred tax assets will not be realized. Deferred tax assets and liabilities are adjusted for the effects of changes in tax laws and rates on the date of enactment. The U.S. federal income tax rate of 21% is being used.

Net deferred tax assets consist of the following components as of:

	February 28, 2021	February 29, 2020
Federal income tax benefit attributable to:		
Current Operations	$ 49,000	$ 45,900
Less: valuation allowance	(49,000)	(45,900)
Net provision for Federal income taxes	$ —	$ —

The income tax provision differs from the amount of income tax determined by applying the U.S. federal income tax rate to pretax income from continuing operations for the fiscal years ending, due to the following:

	February 28, 2021	February 29, 2020
Deferred tax asset attributable to:		
Net operating loss carryover	$ (288,000)	$ (239,000)
Less: valuation allowance	288,000	239,000
Net deferred tax asset	$ —	$ —

At February 28, 2021, the Company had net operating loss carry forwards of approximately $288,000 that may be offset against future taxable income from the year 2021 to 2040. No tax benefit has been reported in the February 28, 2020 financial statements since the potential tax benefit is offset by a valuation allowance of the same amount.

Due to the change in ownership provisions of the Tax Reform Act of 1986, net operating loss carry forwards for Federal Income tax reporting purposes are subject to annual limitations. Should a change in ownership occur, net operating loss carry forwards may be limited as to use in future years. With few exceptions, the Company is no longer subject to U.S. federal, state and local income tax examinations by tax authorities for years before 2016.